



Insurance and Pensions Commission



Life Assurance Industry Report

**for the period ended
30 September 2019**

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Disclaimer

The information used to come up with the report was obtained from quarterly unaudited returns submitted to the Commission by registered players in the Zimbabwe life assurance and reinsurance industry and other sources including government departments. No adjustments have been made to the returns' data except where necessary in consultation with the concerned assurer(s) or reinsurer(s).

Please note that all monetary figures are in ZWL and in Thousands (000) except where stated. Figures relating to periods before 22 February 2019 which were originally reported in USD\$ were converted into ZWL\$ at parity with the United States Dollar in accordance with the provisions of S.I 33 of 2019.

Growth referred to in this report is nominal growth unless stated otherwise. Real growth might have been negative given that the annual inflation rate was 175.7% as at 30 June 2019 and that no official inflation rates were released from the month of July 2019 going forward. In light of the foregoing, real growth for the nine months ended 30 September 2019 could not be ascertained.



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Abbreviations

GPW	Gross Written Premium
NPI	Net Premium Income
GPI	Gross Premium Income
IPEC/Commission	Insurance & Pensions Commission
Q1	First Quarter
Q2	Second Quarter
Q3	Third Quarter
Q4	Fourth Quarter
TCF	Treating Customers Fairly
Prescribed Assets	Prescribed Securities as defined by Insurance Act [Chapter 24:07]
Sept 18	September 2018
Jun 19	June 2019
Sept 19	September 2019

1. EXECUTIVE SUMMARY

- 1.1 The life assurance industry was composed of 12 direct life assurers, 5 composite reinsurance companies, 26 corporate agents and 1533 individual agents as at 30 September 2019.
- 1.2 The life assurance sector's GPW grew by 69% from ZWL\$299 million reported in the nine months ended 30 September 2018 to ZWL\$505.4 million for the current reporting period ended 30 September 2019.
- 1.3 The growth came on the back of premium increases made by most players in response to general increases in the prices of goods and services in the economy.
- 1.4 The life assurance industry total assets grew by 79% from ZWL\$6 billion as at 30 June 2019 to ZWL\$10.8 billion as at 30 September 2019. The growth in asset values was mainly driven by property revaluations and an increasing uptake of prescribed assets.
- 1.5 Investments in prescribed assets as at 30 September 2019 for life assurers and life reinsurers stood at 13.36% and 1.47% respectively. The industry was not compliant with the required prescribed asset ratio of 15% stipulated in Statutory Instrument 206 of 2019.
- 1.6 As at 30 September 2019, 11 of the 12 registered life assurers and 4 of the 5 life reinsurers complied with the prescribed minimum capital requirements. The capital positions were however based on unaudited Q3 returns. Players are advised to remain capitalised to maintain resilience to shocks and ensure the protection of policyholders.
- 1.7 The Minister of Finance and Economic Development announced new minimum capital requirements in the 2020 budget which players are obliged to comply with. A legal instrument on new minimum capital requirements is being finalised. Both direct life assurance and reinsurance companies are now required to comply with minimum capital requirement of ZWL\$75 million.



- 1.8 The life assurance sector reported a total net claims of ZWL\$253 million for the nine months ended 30 September 2019 compared to ZWL\$132 million for the nine months ended 30 September 2018.
- 1.9 Total costs increased by 46.7% from ZWL\$219 million as at 30 September 2018 to ZWL\$321.3 million as at 30 September 2019.
- 1.10 Profit after tax for the nine months ended 30 September 2019 was reported at ZWL\$6.5 billion representing a growth of 1929% from ZWL\$314.8 million. The super profits are largely attributed to exchange rate gains arising from currency reforms, hence the Commission's initiative to come up with a Guidance Paper on revaluation of liabilities in line with currency reforms. The Guidance is aimed at ensuring equitable distribution of revaluation gains arising from currency changeover. Without the Guidance, assets that were supporting liabilities prior to the currency changeover will be transferred to shareholders as dividends on the super profits.



2. Introduction

2.1 The Insurance and Pensions Commission (IPEC) is a statutory body mandated with regulating, supervising and developing the insurance and pensions industry for the protection of policyholders and pension funds in terms of the Insurance Act [Chapter 24:07] and the Pensions and Provident Funds Act [Chapter 24:09]. This report highlights the state of the life assurance sector for the nine months ended 30 September 2019.

IPEC Mission Statement

"To regulate, supervise and strengthen the insurance and pension industry for the protection of policyholders and pension scheme members through regulatory excellence."

a) IPEC Vision

"A safe, vibrant and sustainable insurance and pensions industry by 2022."

b) IPEC Core Values

Core Value	Application Context
1. Fairness	We shall develop and apply rules, regulations and procedures equitably among all clients and stakeholders.
2. Integrity	We are fair, ethical and honest in our dealings with all our stakeholders. In doing so, we apply agreed policies equally to all, maintain the highest of personal, professional and ethical conduct.
3. Excellence	We are exemplary in the way we do our business. We strive to exceed expectations by upholding the utmost quality standards in carrying out our work.

2.2 Terms of Reference

The activities of the Commission are guided by the following Acts and their regulations:

- Insurance and Pensions Commission Act [Chapter 24:21]
- Pension and Provident Funds Act [Chapter 24:09]
- Insurance Act [Chapter 24:07]
- Money Laundering and Proceeds of Crime Act [Chapter 09:24]
- Finance Act [Chapter 23:04]
- Public Entities and Corporate Governance Act [Chapter 10:31]
- Public Finance Management Act [Chapter 22:19]
- Public Procurement and Disposal of Public Assets Act [Chapter 22:23]

3.0 Highlights of the Commission's Regulatory Activities

In pursuit of its mandate, the Commission undertook various initiatives aimed at regulating, supervising and developing the insurance and pensions industry in Zimbabwe. During the last nine months, the following activities and initiatives were undertaken by the Commission:

3.1 Post-Commission of Inquiry Reforms and Compensation Framework

The Commission is making several engagements with all concerned stakeholders in the process of formulating a compensation framework.

3.2 Guidance Paper on Currency Reforms

Following currency reforms which were announced through the Monetary Policy Statement, the Commission developed a paper to guide the industry, particularly on the following:-

- Revaluation of assets and liabilities
- Early pension commutations and
- Investment guidelines vis-a-vis preserving value



Stakeholder views, including inputs from the World Bank Group, insurance industry, Actuarial Society of Zimbabwe among others would be incorporated in the guidance paper on currency reforms and an equitable way of revaluing both liabilities and assets would have to be sought.

3.3 Zimbabwe Integrated Capital and Solvency Programme (ZICARP)

The objective of the project is to develop a Risk-Based Capital regulatory framework in line with international standards, e.g. Solvency II in UK and SAM in South Africa. The African Actuarial Consultants (AAC) were appointed project consultants and they are working with the Insurance and Pensions Commission in developing the framework. A workshop to launch the project was held in February 2019. During the period of compiling this report, the survey results were shared with industry at a Quantitative Impact Assessment (QIS) Q workshop held on the 31st of October 2019. At the same workshop the Quantitative Impact Study (QIS) was launched and the industry is expected to respond to the questionnaire by the end of November 2019.

3.4 Implementation of International Financial Reporting Standard (IFRS) 17

IFRS 17 is an International Financial Reporting Standard that was issued by the International Accounting Standards Board in May 2017. It will replace IFRS 4 on accounting for insurance contracts and has an effective date of 1 January 2022. The commission will be spearheading the awareness programmes for the insurance industry in readiness for implementation of IFRS 17 in January 2021.

3.5 AML/CFT Issues

IPEC is a designated competent supervisory authority in terms of the Money Laundering and Proceeds of Crime Act [CAP 9:24]. A National Risk Assessment for all sectors was conducted and is in the process of being finalised. All insurance players are expected to comply with AML/CFT issues in the interim by:



- Familiarising with provisions of the Money Laundering and Proceeds of Crime Act, Regulations on Freezing of Terrorist Assets – S.I. 76 of 2017, and S.I. 58 of 2019, recent amendments to the Deeds Act on Beneficial Ownership and provisions of the recently enacted Companies and Other Business Entities Act;
- Conducting institutional risk assessment on money laundering and terrorism financing;

Developing measures to deal with the identified risk.

4. Economic Overview

4.1 Economic Indicators and Performance of Investment Markets

The key fundamentals affecting the economy for the nine months ended 30 September 2019 are highlighted below:

4.2 Currency Changes

Currency reforms were introduced through Statutory Instruments 132, 133 and 142 of 2019 as shown in Figure 1 below:

Figure 1: Currency Journey Map

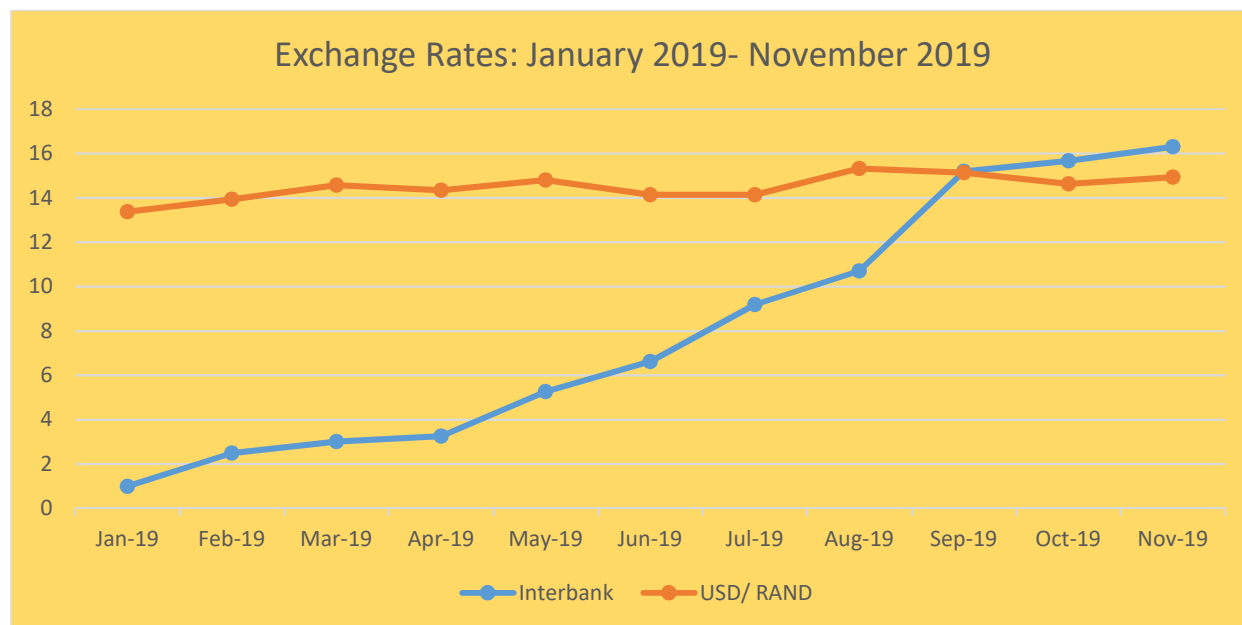


The introduction of the mono-currency directly affected in-force forex-denominated insurance contracts as well as fixed income investments such as bonds and money market.

4.3 Exchange Rate Developments January to November 2019

The country experienced deterioration of the local currency against other major currencies, particularly the United States dollar during the period February to November 2019 as shown in Figure 2, below.

Figure 2: ZWL - US\$ Exchange Rates January to November 2019



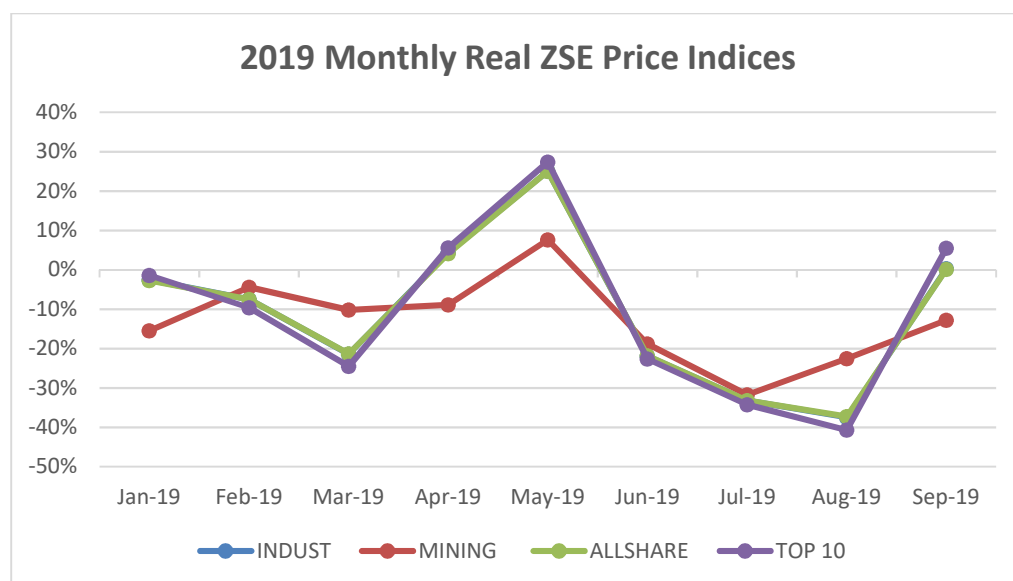
***Source: The Reserve Bank of Zimbabwe*

The movements in the exchange rate largely influenced pricing models for basic goods and services which continue to be multi-tiered depending on whether a customer is paying in hard cash or electronic money. The Reserve Bank's planned new-cash injection into the economy is likely to introduce stability in both the exchange and inflation rates going forward.

4.4 Trends in the Performance of Zimbabwe Stock Exchange

The period from January to September 2019 has witnessed an average negative real returns on all counters as shown in Figure 3, below).

Figure 3: Performance of Zimbabwe Stock Exchange



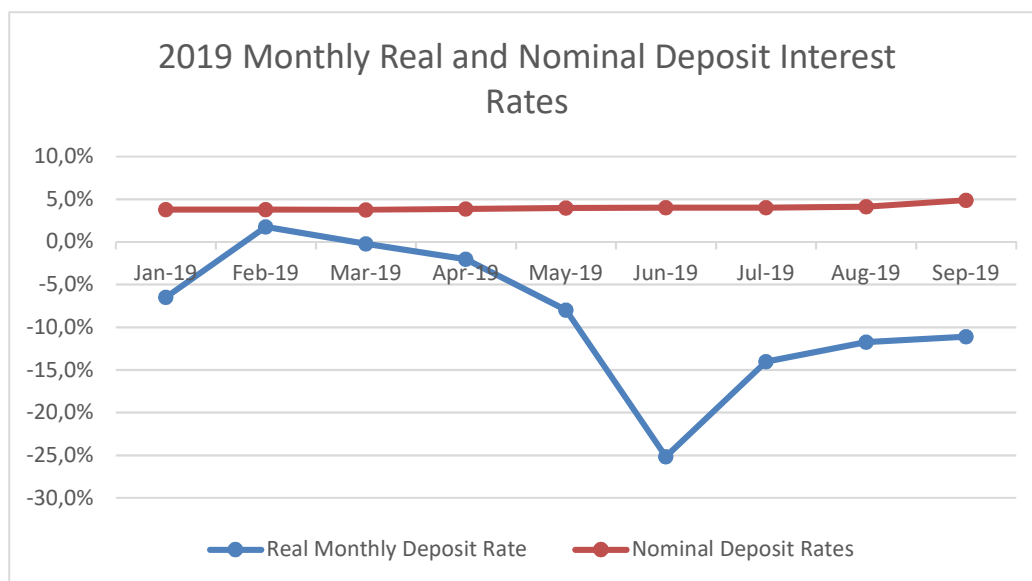
***Source: Zimbabwe Stock Exchange

Whilst listed equities are generally a hedge against inflation, the value of shares has not changed to sufficiently cover for inflation.

4.5 Performance of Money Market Investments

Real returns on money market investments were in the negative territory whilst nominal deposit rates continued to be flat for the first seven months of the year. However, from August 2019, the market witnessed an improvement in the real deposit rates due to the regulatory interventions by the Reserve Bank of Zimbabwe, which increased the minimum lending rates to 50% from about 12.50% previously, making interest rates more attractive.

Figure 4: Trends in the Money Market



4.6 Trends in Real Estate Market:

The value of property portfolio is increasing in nominal terms in line with developments in inflation. Rental yields are also reportedly depressed on account of the recent inflation developments and low occupancy levels.



Structure of the report

The information contained in this report has been divided into five (5) sections arranged as follows:

PART A Industry Overview;

PART B Life Assurance Business;

PART C Life Reassurance Business, and

PART D Annexures

The information used to come up with the report was obtained from quarterly unaudited returns submitted to the Commission by registered players in the Zimbabwe life assurance and reinsurance industry and other sources including government departments. No adjustments have been made to the returns' data except where necessary in consultation with the concerned assurer(s) or reinsurer(s).

PART A

5. INDUSTRY OVERVIEW

5.1 Registration developments

During the period under review, one new life assurer (Doves Life Assurance), which was registered in Q2 of 2019, will now be reported under the life assurance industry going forward. Table 1 below shows the number of registered life assurers and reinsurers for the respective 9 months to September 2018 and 30 September 2019:

Table 1: Industry structure

	September 2018	September 2019
Life Assurers	11	12
Life Reassurers	5	5
Total	16	17

5.2 Name changes of long-term insurers/reinsurers

During the third quarter of 2019, Getsure Life Assurance Company's name was changed to Nhaka Life Assurance Company following approval by the Commission in terms of section 73 of the Insurance Act [Chapter 24:07].

5.3 Life Agents

As at 30 September 2019, life companies had 1533 individual agents and 26 corporate agents as depicted in table 2 below:

Table 2: Life Insurers Agents Statement

Company Name	Corporate Agents		Individual Agents	
	Sep-18	Sep-19	Sep-18	Sep-19
CBZ Life	-	3	-	49
Doves Life	-	-	-	90
Econet Life	-	-	-	-
Evolution Health & Life	-	-	-	-
Fidelity Life Assurance	-	-	-	76
First Mutual Life	-	-	-	249
Nhaka Life Assurance	-	1	-	19
Heritage Life	-	-	-	21
Nyaradzo Life Assurance	-	10	-	303
Old Mutual Life Assurance	-	12	-	238
ZB Life Assurance	-	-	-	236
Zimnat Life Assurance	-	-	-	252
Total	-	26	-	1,533

It is a requirement under the Insurance Act [Chapter: 24:07] for life insurers to ensure that they use registered agents to operate through various distribution channels.

IPEC will take punitive regulatory measures for life insurers who employ unregistered insurance agents in terms of section 26 of the Statutory Instrument 49 of 1989. To protect market integrity, the Commission will ensure that ethical business practices are followed by agents and insurers in conducting insurance transactions at all times.

5.4 On-site Inspections

Cross cutting findings of the inspections are:

- Corporate governance deficiencies;
- Low asset quality and asset – liability mismatch;
- Undercapitalisation;
- High expense ratios;
- IT system challenges.

5.5 Consumer Complaints

During the quarter ended 30 September 2019, the Commission received 32 complaints against Life Offices, 18 of which were resolved. The resolved cases related to alleged non-payment of benefits for which the assurers provided proof that payments were made.

The other complaints related to the alleged low values paid by insurers post dollarisation. It emerged that the majority of policyholders did not access their benefits as they deemed the values to be too low given the premiums paid and the premium payment terms involved.

5.6 Appeals

No appeal was lodged by any life assurer against a decision of the Commission in the reporting period.

5.7 Micro Insurance

The Commission is in the process of developing a monitoring template to be used for quarterly data collection from registered microinsurers. The Commission will come up with quarterly reports based on the data collected, which will inform future strategic decisions.

IPEC also has already approved some life assurers to start offering micro-insurance products targeting low income earners. These organisations are distributing their products and settling claims through easily accessible means, which are cheaper and do not require a lot of paper work.

5.8 Fraud

The Commission has noted an increase in fraudulent claims being reported in the industry and most of the fraudulent claims assume a similar pattern. There were 137 fraud cases with a value of ZWL\$136,702 that were reported by life insurers as at 30 September 2019. These cases



are still being investigated. It was noted that most fraudulent claims were lodged with seemingly authentic papers which would have been fraudulently obtained. Comprehensive measures that transcend the whole value chain have to be put in place in order to combat fraudulent claims that are bleeding the life assurance industry.

5.9 Industry Staff compliment

As at 30 September 2019 the life insurance industry had a network of 71 branches across the country. Table 3 below shows that the life insurance industry employed 1903 non-executive staff members and 70 executive staff members as at 30 September 2019.

Table 3: Industry Staff compliment

	Total
Number of non-executive staff members	1903
Number of executive staff members	70
Number of policies	2,662,922
Number of Branches	71

PART B

6. Life Assurers Business

This section covers various aspects of life assurers' operations which include business composition by company, business composition by product, market share by premium income, key cost drivers for the industry, industry asset base, capital and solvency issues and any other key risks facing the industry.

6.1 Business Composition by Type of Product

For the period from 1 January 2019 to 30 September 2019, the life assurance industry reported a gross premium of ZWL\$505 million, representing growth of 69% as compared to ZWL\$299 million reported for the same period in 2018.

Growth in GPW for the period under review was mainly driven by funeral assurance and fund business which increased by 67% and 72% respectively. GPW for funeral business grew from ZWL\$117 million to ZWL\$195 million whereas GPW for fund business grew from ZWL\$120 million to ZWL\$206 million. (See table 3 below)

Table 4: Gross Premium by Product Type

Product	Sep-18	Sep-19	Growth
	\$000	\$000	(%)
Annuities	12,578	16,037	28%
Term Insurance	8,312	9,328	12%
Endowment	4,384	4,491	2%
Pure Endowment	2,511	1,273	-49%
Whole Life	6,071	9,114	50%
Funeral	116,905	194,674	67%
Fund Business	119,850	205,921	72%
Other/GLA	28,406	64,566	127%
Total	299,017	505,404	
Average industry growth %ge			69%

**other comprises of pure endowment, endowment and group life assurance*

The increase in GPW can mainly be attributed to a general increase in premiums for most products as a result of exchange rate induced moderate to high levels of inflation experienced in the economy during the period under review.

The predominance of fund business continues to signal constrained disposable incomes for personal lines of risk business, which curtailed demand for insurance products for this group of clients. The Commission implores industry players to be innovative and come up with more accessible, relevant and affordable products to increase new business. The table below shows business composition by company for the nine months ended 30 September 2019:

Table 5: Business Composition by Company

Co. Name	Individual Life (000)						Corporate Business (000)					
	New Business			Recurring Premiums			New Business			Recurring Premiums		
	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)
CBZ Life	287	664	131.36%	5,739	5,881	2.47%	1,233	1,204	-2.35%	1,063	981	-7.71%
Doves Life	0	166	0.00%	0	7,319	0.00%	0	384	0.00%	0	17,081	0.00%
Econet Life	322	141	-56.21%	12,591	37,529	198.06%	0	0	0.00%	374	679	81.55%
Evolution Health and Life	2	2	0.00%	477	725	51.99%	0	0	0.00%	0	0	0.00%
Fidelity Life	953	418	-56.14%	2,763	3,762	36.16%	30	12	-60.00%	5,880	9,781	66.34%
First Mutual life	1,884	1,731	-8.12%	13,825	16,211	17.26%	50	906	1712.00%	14,963	23,600	57.72%
Nhaka Life	127	229	80.31%	833	1,347	61.70%	297	9	-96.97%	358	323	-9.78%
Heritage Life	18	2	-88.89%	623	651	4.49%	0	0	0.00%	0	7	0.00%
Nyaradzo Life	1,120	2,575	129.91%	54,586	93,346	71.01%	83	361	334.94%	22,506	40,386	79.45%
Old Mutual Life	6,479	3,479	-46.30%	8,704	17,049	95.88%	42,784	56,623	32.35%	70,356	108,829	54.68%
ZB Life	165	83	-49.70%	4,113	4,027	-2.09%	612	188	-69.28%	4,943	7,882	59.46%
Zimnat Life	1,719	3,076	78.94%	6,818	13,912	104.05%	1,825	3,180	74.25%	9,181	18,663	103.28%
TOTAL	13,076	12,566	-3.90%	111,072	201,759	81.65%	46914	62867	34.00%	129,624	228,212	76.06%

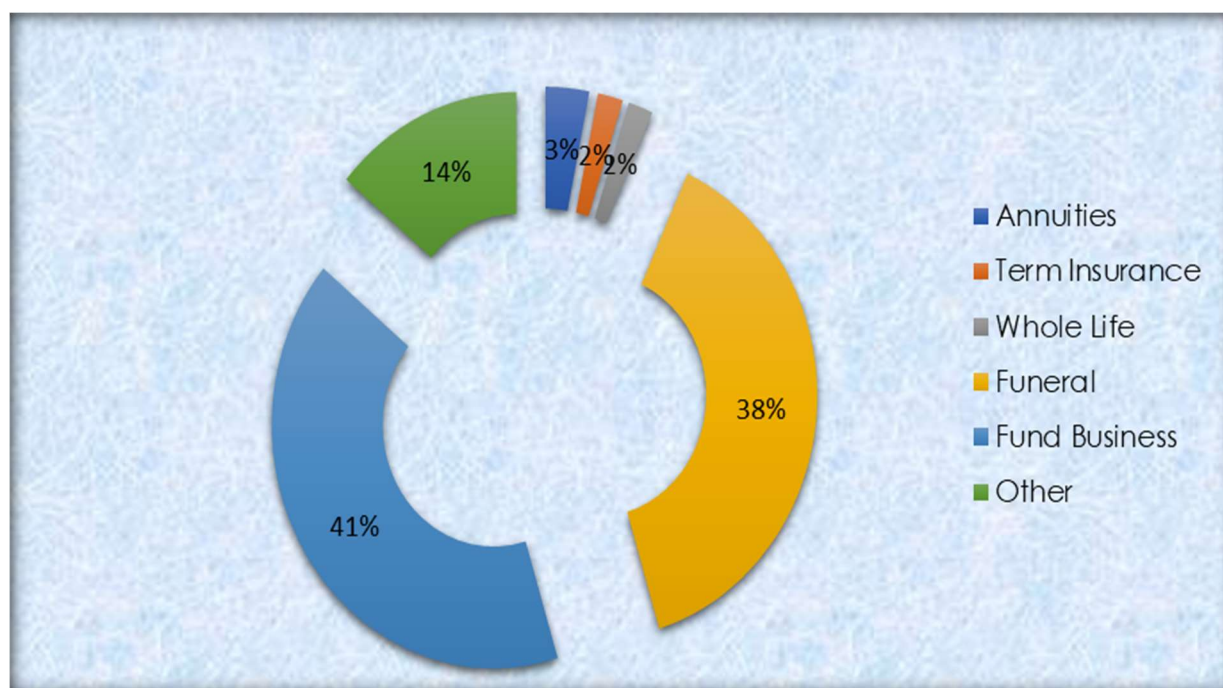
6.2 Business Composition by Product Class

GPW for the period under review was mainly composed of funeral assurance, and group life assurance, which contributed 38% and 13% of the total GPW respectively.

The Commission continues to encourage industry players to develop products that are tailored to the operating environment and the changing needs of their customers. These products should also be able to preserve value considering the depressed economic environment being currently experienced in the country.

The chart below shows the breakdown of business composition by product for the period under review:

Figure 5: Business Composition by Product



6.3 Business Breakdown by NPW

For the nine months ended 30 September 2019, the life assurance industry wrote ZWL\$495 million in net premiums reflecting a 67% increase from ZWL\$296 million written in the comparable period in 2018.

Table 6: NPW Distribution by Company

Company	Q3 2018	Q3 2019	
			Growth
CBZ	8,029	8,445	5%
Doves	-	24,949	0%
Econet	12,605	37,648	199%
Evolution	476	727	53%
Fidelity	9,393	13,156	40%
First Mutual	30,389	42,140	39%
Nhaka Life	1,596	1,865	17%
Heritage	634	655	3%
Nyaradzo	78,295	136,669	75%
Old Mutual	126,392	182,741	45%
ZB	9,369	11,542	23%
Zimnat	18,981	34,884	84%
Total	296,159	495,421	
Average % growth for the industry			67%

7. Capitalisation

As at 30 September 2019, 11 out of the 12 life assurers reported capital positions which were compliant with the minimum capital requirement of ZWL\$5 million as stipulated in Statutory Instrument 95 of 2017. Adequate capital is critical for managing risk as it cushions the balance sheet of an assurer in times of high claims experience and depressed markets.

The current required minimum capital levels have been eroded by exchange rate induced inflation following the abolishment of the multicurrency regime and designation of the local currency as the sole legal tender in June 2019 through Statutory Instrument 142 of 2019. To this end the



Minister of Finance and Economic Development announced new minimum capital levels which are meant to enhance policyholder protection. The new capital for both direct life insurers and reinsurers will be ZWL\$75million. Table 6 below shows the industry capital positions as at 30 September 2019:

Table 7: Industry Capital positions

Company	Capital Position Trend				
	2018 Q3	2018 Q4	2019 Q1	2019 Q2	2019 Q3
CBZ	19,817	21,192	21,000	57,241	105,915
Doves**	0	0	0	0	44,733
Econet	15,668	23,812	24,031	41,092	66,207
Evolution	3,202	3,175	6,190	5,823	7,939
Fidelity	3,999	2,955	2,508	4,379	6,937
First Mutual	74,691	76,643	85,466	83,547	226,292
Nhaka	5,391	5,265	6,417	9,396	7,939
Heritage	713	706	786	712	834
Nyaradzo	17,192	19,426	9,165	15,185	29,553
Old Mutual	320,877	442,474	389,063	679,260	954,529
ZB	16,590	17,320	47,335	48,757	48,339
Zimnat	27,532	28,378	28,332	52,354	59,988
Total	505,672	641,346	620,293	997,746	1,559,205

8. Asset Quality

Total assets as at 30 September 2019 stood at ZWL\$10.8 billion representing a growth of 79% as compared to ZWL\$6.0 billion for the previous quarter (30 June 2019).

The growth in property of 313% from 30 June 2019 to 30 September 2019, as shown in table 7 below, may have managed to partially cushion the industry's assets against inflation which was last reported as 175% year on year as at June 2019.

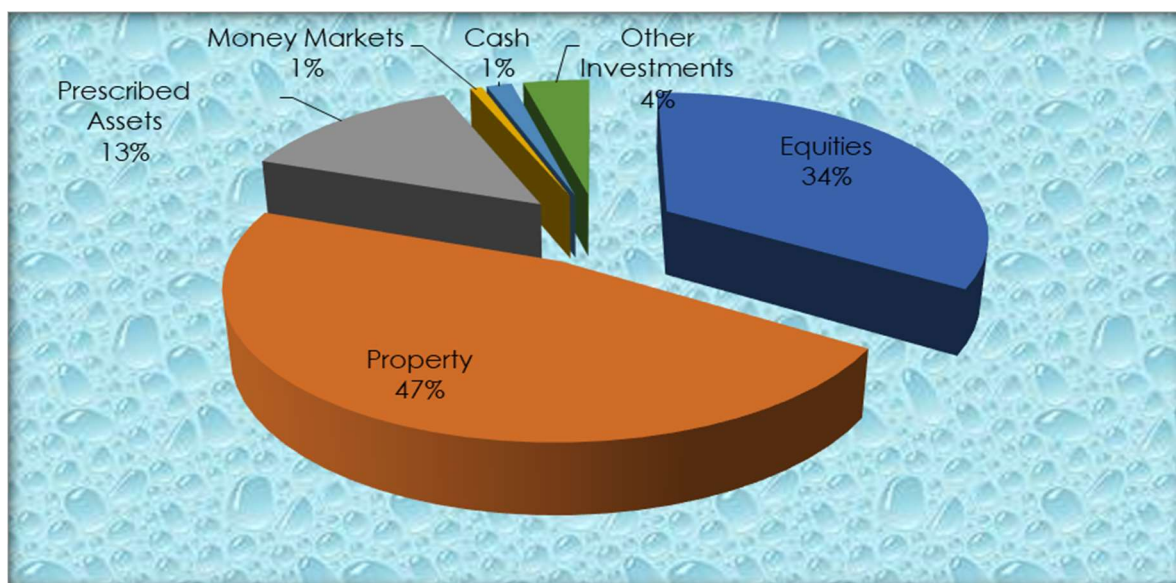
Table 8: Asset Breakdown by Class

Assets	Jun-19	Sep-19	Growth Rate
Property	1,608,007	5,026,648	313%
Equities	3,012,155	3,638,658	21%
Money Markets	110,512	77,714	-30%
Cash	95,093	163,334	72%
Other Investments	382,825	421,540	10%
Prescribed Assets	822,053	1,438,789	75%
Total Assets	6,030,645	10,766,683	79%

The increase in assets values was mainly driven by property revaluations and an increasing uptake of prescribed assets as industry players reorganised their investment portfolios.

Industry players are encouraged to continue observing investment guidelines from the Commission as well as those from their statutory actuaries to maintain the right asset liability match which enables them to pay claims as they fall due. Figure 6 below shows the assets split by asset class:

Figure 6: Industry Asset split





Prescribed Asset Status

As at 30 September 2019, all life assurers were not compliant with the required minimum prescribed asset ratio of 15%. The total amount invested by the industry in prescribed assets was ZWL\$1.4 billion falling short of the required level of industry compliance by an amount of ZWL\$1.6 billion. Non-compliant assurers are required to submit monthly acceptable roadmaps to comply with the minimum prescribed asset ratio as this is a statutory requirement.

The Commission is continuously urging industry players to comply with the mandatory prescribed asset ratio of 15%.

Table 9: Life Insurers Prescribed Asset Ratio Status

Insurer	Prescribed asset Investments	Total assets	Prescribed asset ratio	Amount required to be compliant	Variance in compliance%
CBZ Life	3,481,018.64	116,036,110.45	3.00%	17,405,416.57	-12.0%
Doves Life	19,733.00	58,394,715.00	0.03%	8,759,207.25	-15.0%
Econet Life	5,420,846.00	90,768,534.00	5.97%	13,615,280.10	-9.0%
Evolution Health & Life	99,844.00	8,734,695.00	1.14%	1,310,204.25	-13.9%
Fidelity Life Assurance	15,369,764.00	217,779,462.00	7.06%	32,666,919.30	-7.9%
First Mutual Life	100,310,434.21	679,054,531.00	14.77%	101,858,179.65	-0.2%
Nhaka Life Assurance	524,107.00	10,095,467.00	5.19%	1,514,320.05	-9.8%
Heritage Life	-	1,306,547.00	0.00%	195,982.05	-15.0%
Nyaradzo Life Assurance	8,421,108.00	201,453,941.00	4.18%	30,218,091.15	-10.8%
Old Mutual Life	1,290,181,490.00	8,941,839,441.00	14.43%	1,341,275,916.15	-0.6%
ZB Life Assurance	3,277,869.00	133,707,176.00	2.45%	20,056,076.40	-12.5%
Zimnat Life Assurance	11,682,782.00	307,508,021.00	3.80%	46,126,203.15	-11.2%
Total	1,438,788,995.85	10,766,678,640.45	13.36%	1,615,001,796.07	-1.6%

9. Reassurance

The reinsurance uptake of life assurers was low for the nine months ended 30 September 2019. Premium worth ZWL\$10.0 million, out of a total GPW of ZWL\$505 million written by the industry for the nine months ended 30

September 2019, was ceded to reinsurers, thus translating to a reinsurance ratio of 1.98% (retention of 98.02%).

The reinsurance ratio of 1.98% can partly be explained by the fact that a significant portion of the industry's GPW was derived from fund business and funeral assurance business which are not usually reassured. In respect of fund business the assurer carries no risk and therefore reinsurance is not required while limits on most funeral assurance policies are usually low resulting in most life assurers not seeking reinsurance.

The Commission continues to urge industry players to be prudent and set retention levels that are in line with the adequacy and appropriateness of their assets so as to minimise the risk of insolvency in times of stress. In the same vein, players should put in place robust risk management systems that enable them to effectively manage their risks and ensure safety of policyholder funds.

10. Actuarial Matters

Technical liabilities for the life assurance industry amounted to ZWL\$8.20 billion as at 30 September 2019, supported by assets amounting to ZWL\$10.77 billion. The assets of the industry were therefore considered to be adequate to cover technical liabilities leaving an excess in assets of ZWL\$2.59 billion.

Future policyholder benefits continue to be the main component of technical liabilities, constituting ZWL8.18 billion, while unearned premium reserve, outstanding claims reserve and incurred but not reported claims reserve constituted the remainder of the liabilities.

The Commission continues to encourage players to periodically review their reserving policies to make sure that they are in line with their claims experience.

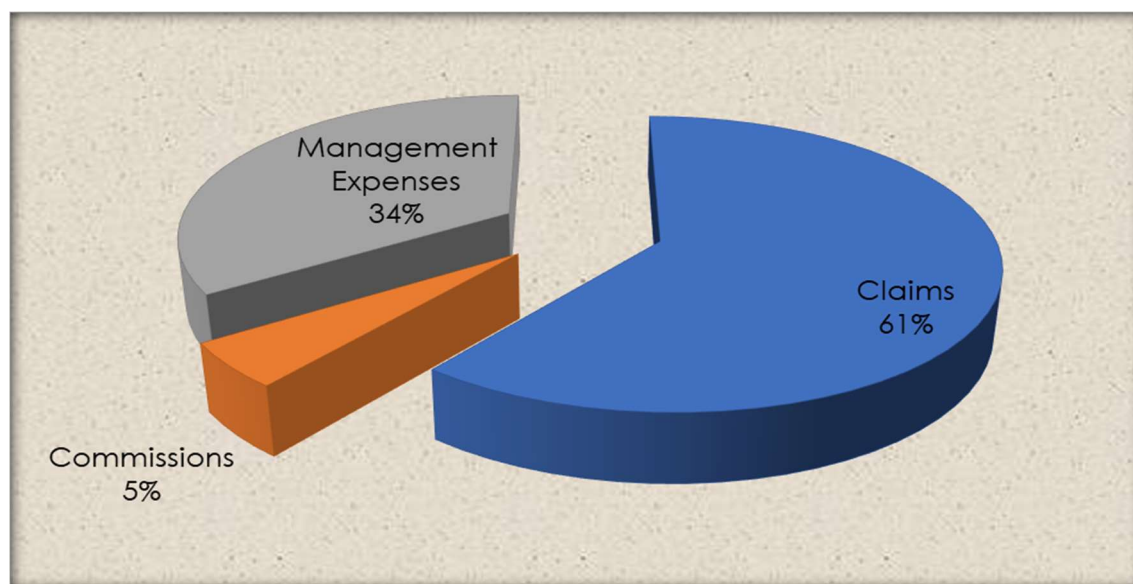
11. Earnings

For the nine months ended 30 September 2019, management expenses accounted for ZWL\$142 million of total costs compared to ZWL\$73.0 million for the same period in 2018. Management expenses as a proportion of total costs declined from 33% in the comparable period in 2018 to 15%.

Claims ratio for the nine months was 79% compared to 60% for the same period in 2018 whilst the commission bill was ZWL\$21 million, which was an increase from ZWL\$14 million reported as at 30 September 2018.

Figure 7 below shows the costs breakdown for the nine months ended 30 September 2019.

Figure 7: Costs breakdown



In terms of technical profitability, the industry reported a combined ratio of 65% for the nine months ended 30 September 2019 as compared to 73.9% of the same period in 2018.

In light of the challenging investment climate, the Commission urges prudent cost cutting and cost rationalisation measures on the part of players to safeguard sustainability and profitability.

Table 10: Key Income and Cost Indicators by Company

Co. Name	NPW (000)		Total Costs(000)			Combined Ratio		
	Sep-18	Sep-19	Sep-18	Sep-19	Growth	Sep-18	Sep-19	Growth
CBZ	8,029	8,445	5,443	3,129	-42.5%	67.8%	37.1%	-30.7%
Doves	0	24,949	0	15,194	0.0%	0.0%	60.9%	60.9%
Econet	12,605	37,648	11,002	16,775	52.5%	87.3%	44.6%	-42.7%
Evolution	476	727	402	346	-13.9%	84.5%	47.6%	-36.9%
Fidelity	9,393	13,156	7,035	5,058	-28.1%	74.9%	38.4%	-36.4%
First Mutual	30,389	42,140	22,811	16,422	-28.0%	75.1%	39.0%	-36.1%
Nhaka	1,596	1,865	1,416	1,626	14.8%	88.7%	87.2%	-1.5%
Heritage	634	655	690	105	-84.8%	108.8%	16.0%	-92.8%
Nyaradzo	78,295	136,689	56,422	129,768	130.0%	72.1%	94.9%	22.9%
Old Mutual	126,392	182,741	90,988	103,071	13.3%	72.0%	56.4%	-15.6%
ZB	9,369	11,542	8,813	15,561	76.6%	94.1%	134.8%	40.8%
Zimnat	18,981	34,884	13,975	14,220	1.8%	73.6%	40.8%	-32.9%
Total	296,159	495,441	218,997	321,275	46.7%	73.9%	64.8%	-9.1%

Lapsed Policies

Lapsed policies are increasing in the life assurance industry. For the nine months ended 30 September 2019, the industry reported a lapse ratio of 8.15%, compared to 7.16% reported in the comparable period in 2018. This was mainly related to individual life business. Lapse ratios are generally an indication of difficulties faced by policyholders in affording premium increases arising from inflation developments, maintaining active policies due to shrinking disposable incomes and misselling of policies by assurance companies.

Table 10 below shows the numbers of policies that were not renewed compared to the number of policies that were active at the beginning of the third quarter 2019:

Table 11: Lapsed Policies

Company	Number of Lapsable Policies at the Beginning of the Quarter	Lapsed Policies (Individual Life)	Lapsed Policies (EB /Corporates)	Lapsed Policies (Others)	Lapse Ratio
CBZ Life	57,787	895	-	-	1.55%
Doves Life	-	-	-	-	0.00%
Econet Life	1,376,708	59,845	2	-	4.35%
Evolution Health & Life	44,395	-	-	-	0.00%
Fidelity Life Assurance	3,127	-	-	-	0.00%
First Mutual Life	117,837	13,305	-	-	11.29%
Nhaka Life Assurance	1,280	287	-	-	22.42%
Heritage Life	-	-	-	-	0.00%
Nyaradzo Life Assurance	446,643	94,248	1,464	41	21.44%
Old Mutual Life Assurance	81,021	3,485	-	-	4.30%
ZB Life Assurance	7,470	1,014	-	-	13.57%
Zimnat Life Assurance	45,943	3,016	194	-	6.99%
Totals	2,182,211	176,095	1,660	41	8.15%

Not taken up policies

For the nine months ended on 30 September 2019, not taken up policies numbered 57 980 with potential premiums amounting to ZWL\$39 million from not taken up policies.

Table 12: Not taken up policies

Company	Number of Policies	Potential GPW (ZWL\$ 000)
CBZ Life	93	2
Doves Life	-	-
Econet Life	2,607	4
Evolution Health & Life	-	-
Fidelity Life Assurance	49,347	13,973
First Mutual Life	301	8
Nhaka Life Assurance	423	7
Heritage Life	34	1
Nyaradzo Life Assurance	-	-
Old Mutual Life Assurance	1,263	24,728
ZB Life Assurance	1,429	54
Zimnat Life Assurance	2,483	169
Totals	57,980	38,946

12. Liquidity

As at 30 September 2019, liquid assets including cash, money markets and prescribed assets for the life assurance industry amounted to ZWL\$1.7 billion, constituting 16% of the total asset base of ZWL\$10.7billion.

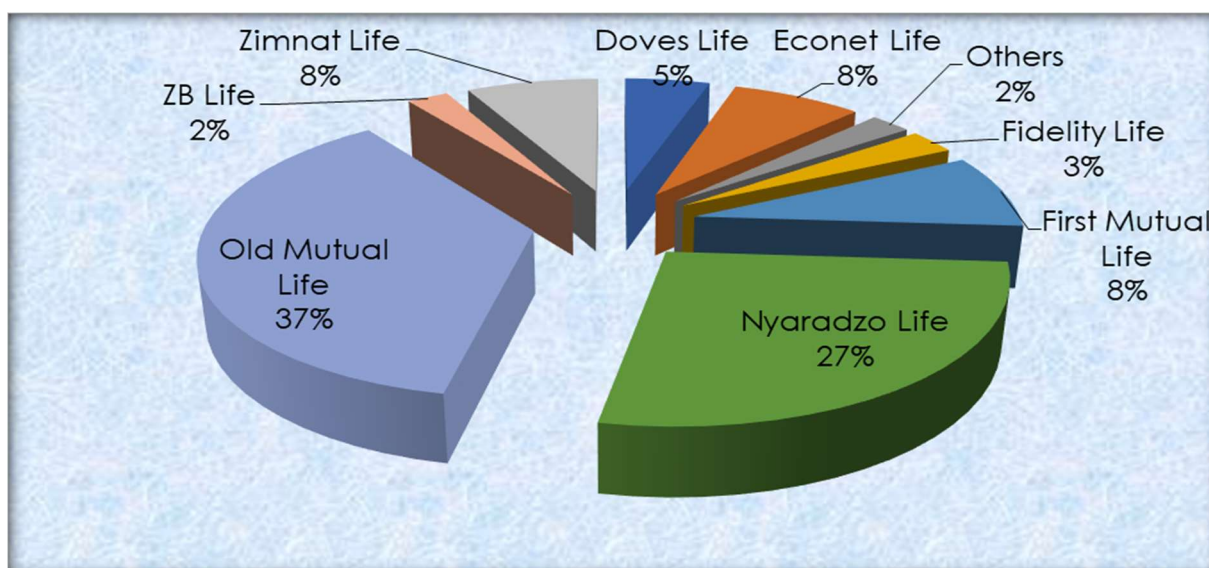
The average current ratio for the industry as at 30 September 2019 was 112% indicating adequate liquid assets to cover current liabilities. The timing of claims which form the bulk of life assurers' liabilities is uncertain, hence it is critical for life assurers to keep adequate liquid assets to cover these liabilities as they fall due.

13. Market Share

Market share in terms of GPW

Market share in terms of GPW for the life assurance industry was dominated by two assurers with a combined market share of 64%. The remaining entities shared the other 36% of the market share as at 30 September 2019.

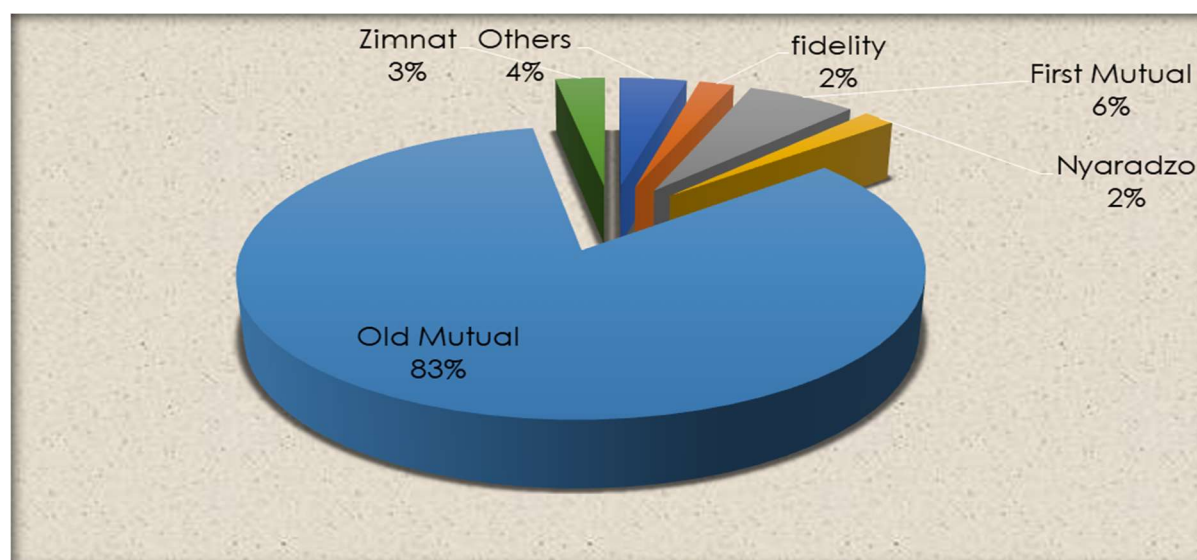
Figure 8: Market Share by GPW



Market Share in terms of Total Assets

The asset base of the life assurance industry was concentrated in one entity which controlled 83% of the industry assets as at 30 September 2019. The remaining players controlled 17% of the industry assets.

Figure 9: Market share by assets



Others comprises of Heritage, Nhaka, Evolution, Econet, CBZ, ZB and Doves



PART C

LIFE REASSURANCE BUSINESS

The statistics presented in this section of the report pertain to the composite reinsurers' life assurance business only except for the capital positions which comprises of both life and non-life business. Please note that the figures for Zep-Re contained in this report are only for the institution's Regional Hub Office located in Zimbabwe and not for the company as a regional institution.

The Regional Hub Office writes business in Zimbabwe, Swaziland, Botswana, Namibia, and South Africa, among others. ZEP Reinsurance Company was formed under the auspices of COMESA and writes business in all COMESA member States. The Regional Hub Office is supported by the balance sheet of Zep-Re as a whole.

14. Performance in Terms of Business Written

As at 30 September 2019, composite reassurers reported an increase of ZWL\$5.63 million in GPW from ZWL\$6,91 million reported as at 30 September 2018 to ZWL\$12,54 million reported for the nine months ended 30 September 2019 which represents an increase of 81.53%.

Major contributors to this increase were FBC Re, Emeritus Re and Zep Re with GPW increases of 308.60%, 88.55% and 77.13% respectively while First Mutual Re recorded a growth of 1.67% for the period under review. Grand Re did not write any life reinsurance business for the period under review.

Recurring business was a major portion of GPW for the nine months ended 30 September 2019, increasing from 67% for the nine months ended 30 September 2018 to 73% for the current reporting period.

The decrease in new business as a proportion of GPW, from 33% for the nine months ended 30 September 2018, to 27% for the period under review, might be as a result of inflationary pressures which have eroded the purchasing power of the disposable income of consumers.

On business breakdown by source, 87% of GPW came from corporate lines while the remaining 13% came from personal lines. Table 12 below shows breakdown of premium by life reassurers:

Table 13: Breakdown of GPW by life re-assurer

Name Of Company	September 2018 (000) GPW	September 2019 (000) GPW	Growth GPW%
Emeritus Re	2,890	5,449	88.55%
FBC Re	651	2660	308.60%
FM RE	2031	2065	1.67%
Grand Re	0	0	0.00%
Zep Re	1,338	2,370	77.13%
Total	6,910	12,544	81.53%

For the nine months ended 30 September 2019, the composite reinsurance industry retained 78.30% of the total life reinsurance business down from 89.75% reported in the previous reporting period, thus ceding the remaining 21.70% which amounted to ZWL\$2,72 million.

15. Capitalisation

The minimum capital requirement for composite reinsurers, is ZWL\$10 million as stipulated in Statutory Instrument 95 of 2017. In terms of capitalisation, four composite reinsurers were compliant with the minimum capital levels as at 30 September 2019. One composite reinsurer reported a capital position which was below the minimum capital levels.

Minimum capital levels are a statutory requirement which all reinsurers should comply with. Adequate capitalisation is a critical aspect in the protection of policyholders and maintenance of industry stability.

Table 14: Capitalisation of Composite Reinsurers

Company	Dec-18 \$(000)	Mar-19 \$(000)	Jun-19 \$(000)	Sep-19 \$(000)
1. Emeritus Re	46,631	53,767	67,174	106,578
2. FBC Re	29,431	53,556	49,917	55,343
3. First Mutual Re	12,001	8,330	11,521	21,844
4. Grand Re	10,297	18,262	-101	-106
5. Zep Re**	7,650	9,230	2,918	144,224
Total	106,010	143,145	131,429	327,883

***The capital levels in the table above include capital supporting non-life business**

****Zep Reinsurance company's capital position is also backed by its parent company based in Kenya, which reported capital of ZWL\$243.11 million.**

16. Asset Quality

Composite reassurers reported an asset base of ZWL\$97.38 million in respect of life business as at 30 September 2019, indicating growth of 25.29% from an asset base of ZWL\$77.72 million reported as at 30 June 2019.

The growth in asset base for the period ending 30 September 2019 was mainly driven by growth in receivables and cash balances, recording growth rates of 187.49% (amounting to 29.07 million) and 77.26% (amounting to ZWL\$28.91 million) respectively as at 30 September 2019 compared to figures reported as at 30 June 2019.

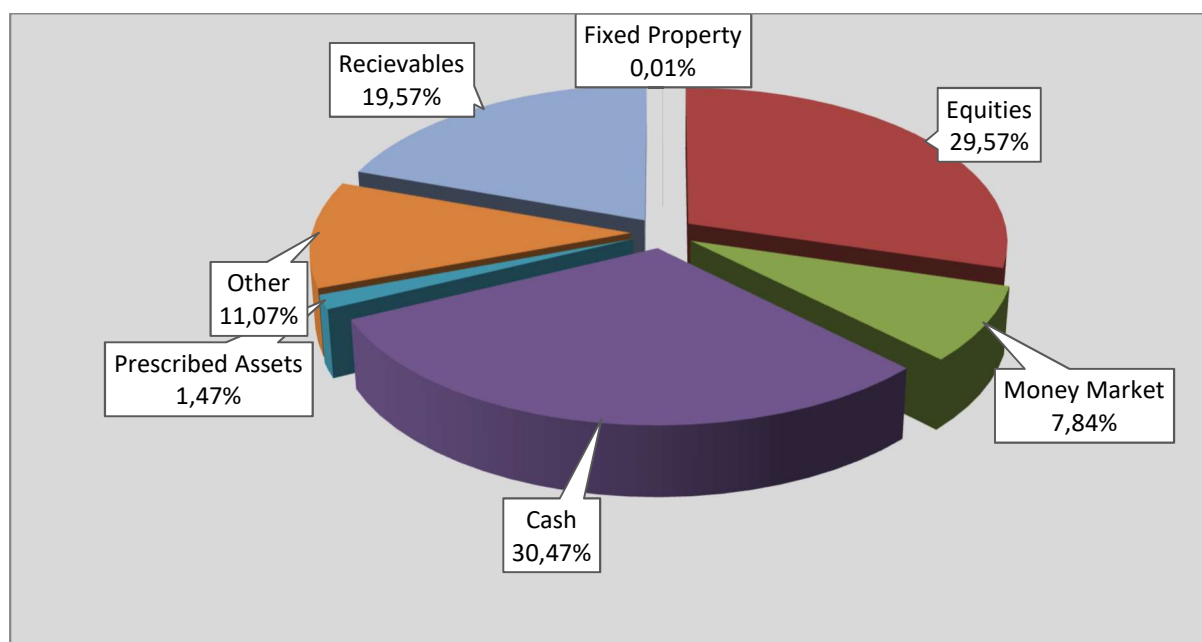
Accordingly, in monetary terms, growth in receivables was more pronounced than growth in cash balances. The asset base of composite reassurers was mainly composed of 3 asset classes namely; cash, equities and premium receivables with asset shares of 30.47%; 29.57% and 19.57% respectively.

Cash continues to constitute a moderately large portion of the asset base increasing to 30.47% for the quarter ended 30 September 2019 from 26.19% reported for the quarter ended 30 June 2019.

Premium receivables with a proportion of 19.57% of total assets, constitute a relatively significant amount of asset base. As such, industry players are encouraged to reduce premiums receivables as this may tie up much needed liquidity for payment of claims.

Industry players are encouraged to look for alternative investments that can preserve asset value in a hyper-inflationary environment in order to protect the underlying policyholder funds.

Figure 10: Breakdown of Assets.



***Other assets in figure 10 consist of operating assets such as plant, property and equipment, motor vehicles, electronic equipment, inventory and prepayments.*

The Commission urges reassurers to adopt optimal investment policies that are in line with Circular 2 of 2013 on Investment guidelines. It is important for composite reassurers to always be compliant with regulations as this ensures the protection of policyholder funds and thus increases public confidence in the insurance industry.

For the quarter ended 30 September 2019, the average prescribed asset compliance level was 1.47% compared to 2.44% for the quarter ended 30 June 2019.

None of the composite reassurers were compliant with the minimum prescribed asset ratio of 15% in respect of their life business. Composite reassurers are expected to comply with the prescribed asset ratio as this is a statutory requirement.

Table 15: Prescribed Asset Ratio for Composite Reassurers

Name of Company	Prescribed Assets \$(000)	Total assets \$(000)	Prescribed Assets Ratio %	Amount required to be compliant \$(000)	Variance in compliance %
Emeritus Re	1,082	20,292	5.33%	3,044	9.70%
FBC Re	183	69,006	0.27%	10,351	14.70%
FM RE	132	5,566	2.37%	835	12.60%
Grand Re	-	-	-	-	-
Zep Re	-	20	0.00%	3	15.00%
Total	1,397	94,884	1.47%	14,233	13.50%

17. Actuarial Matters

The reassurers' total asset base for the quarter ended 30 September 2019 was ZWL\$97.38 million, which translated to a 25.30% increase from ZWL\$77.72 million reported for the quarter ended 30 June 2019. The total asset base for the period ended 30 September 2019 was deemed adequate to cover the technical liabilities of ZWL\$3.95 million.

Technical liabilities as at 30 September 2019 comprised future policyholders' benefits, unearned premium reserves, outstanding claims reserve, incurred but not reported claims reserve and life fund reserves. It is extremely important for industry players to have reserving policies and periodically review the same to make sure they have adequate reserves to meet their future liabilities.

18. Earnings

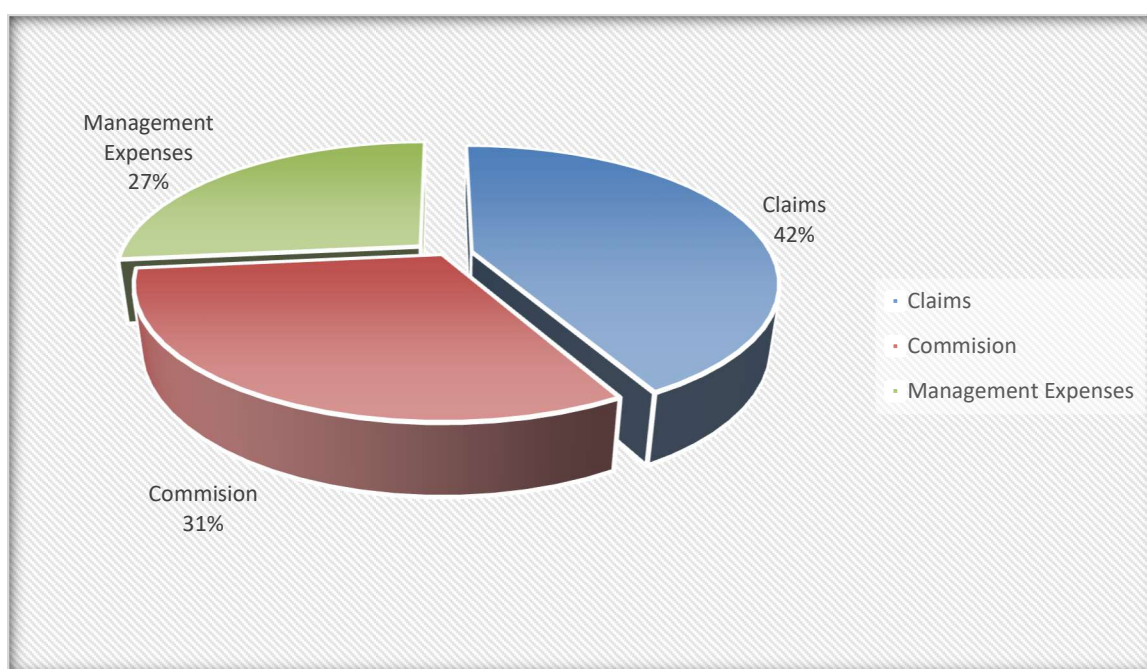
Profit after tax for life reassurers increased significantly by 679.63% from ZWL\$1.08 million for the nine months ended 30 September 2018 to ZWL\$8.42 million for the nine months ended 30 September 2019.

The increase in profit after tax was mainly driven by an increase in fair value adjustments of equities on the Zimbabwe Stock Exchange.

Total costs for the composite reassurers for the nine months ended 30 September 2019 increased by 47.29% from ZWL\$5.37 million for the comparable period ended 30 September 2018 to ZWL\$7.91 million.

Claims as a proportion of total costs constituted 42% while the remaining 58% of the total costs was split between commission and management expenses at 31% and 27% respectively. Figure 6 below shows the total cost breakdown:

Figure 11: Breakdown of Costs



There was a decrease in claims as a proportion of total costs from 46% for the period ended 30 June 2019 to 42% for the period under review.

19. Liquidity

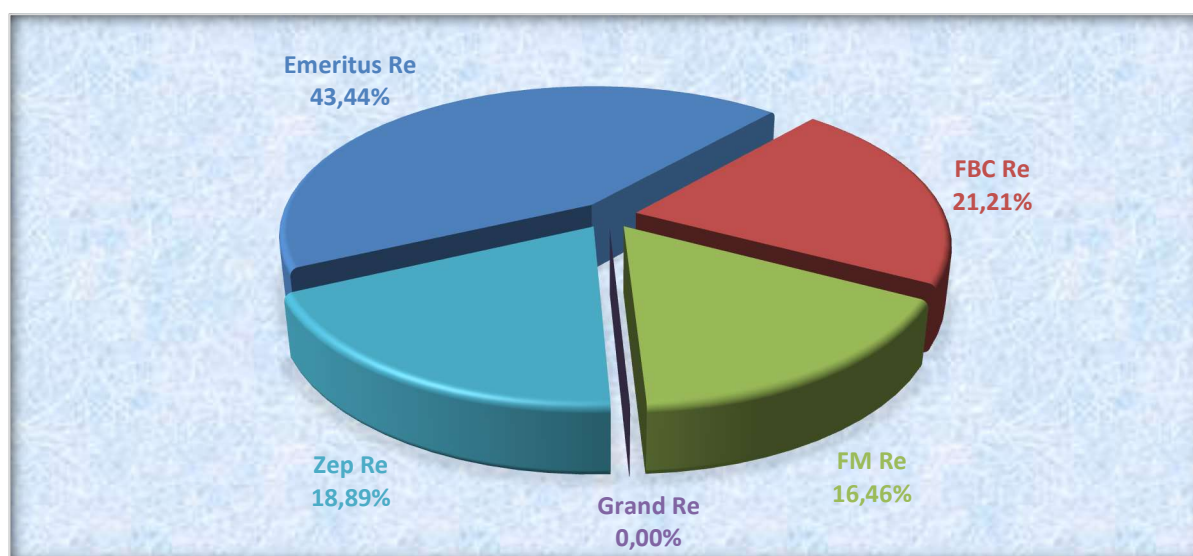
The industry had above average level of liquid assets as evidenced by high portion of cash and cash equivalents at 30.47% of total assets. Industry players are encouraged to maintain an optimum level of liquidity without impairing the ability of the policyholder funds to earn rates of return that protect policyholder funds against loss of value.

The total working capital for reinsurers supporting their life business was ZWL\$44.55 million as at 30 September 2019. There was an increase of 45.14%, in the total working capital from ZWL\$30.69 million for the period ended 30 June 2019.

20. Market Share

Market share by GPW was dominated by two players which commanded 64.65% while the remaining players commanded 35.35% for the period ended 30 September 2019 as shown in figure 12 below:

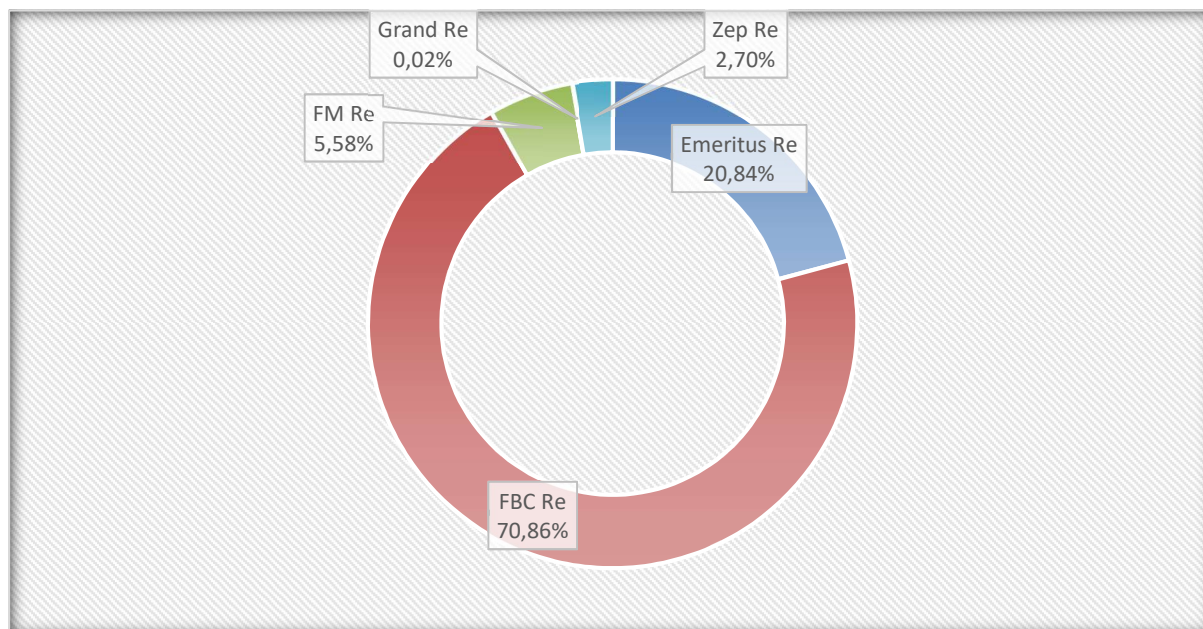
Figure 12: Market Share of Life Reinsurers by GPW



The total assets of ZWL\$97.38 million for the industry were dominated by two players namely; Emeritus Re and FBC Re with a combined market share of

91.70%. The other three reassurers, shared the remaining 8.30% assets as per figure 13 below:

Figure 13: Market Share in Terms of Assets



PART D

Annexure

ANNEXURE 1. STATEMENT OF COMPREHENSIVE INCOME FOR LIFE ASSURERS FOR THE PERIOD ENDED 30 September 2019 (000)													
	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
Gross Written Premiums	8,731	24,950	38,349	728	13,973	42,447	1,908	661	136,669	185,980	12,180	38,831	505,407
Reinsurance Premiums	286	0	700	1	817	307	43	6		3,239	638	3,947	9984
Net Written Premiums	8,445	24,950	37,649	727	13,156	42,140	1,865	655	136,669	182,741	11,542	34,884	495,423
Increase/(Decrease) in UPR	368	0		7					0				375
Net Earned Premiums	8,077	24,950	37,649	720	13,156	42,140	1,865	655	136,669	182,741	11,542	34,884	495,048
Transfer to IBNR	23	0	2,235	34			91		0			324	2,707
Claims paid	1,309	10,674	13,609	155	4,488	14,982	199	82	86,838	101,480	4,212	9,183	
Outstanding claims	1173	2495					23		-635			487	3,543
Net claims	2,505	13,169	15,844	189	4,488	14,982	313	82	86,203	101,480	4,212	9,994	253,461
Net Commission Incurred	624	2025	0	157	570	1439	130	23	8962	1591	1976	3,158	20655
Technical Result	4,948	9,756	21,805	374	8,098	25,719	1,422	550	41,504	79,670	5,354	21,732	220,932
Operating Expenses	7179	10950	253	291	5875	24898		651		38087	9466	10,263	107913
Underwriting Result	-2,231	-1,194	21,552	83	2,223	821	1,422	-101	41,504	41,583	-4,112	11,469	113,019
Management expenses	0	0	0				0		34604			0	34604
Investment Income	4637	0	40,808		36992	357286		59	1023	5806712	1475	159349	6408341
Unrealised Gains/Losses		22495											22495
Other expenses	0	0	21305	274	5780	5829	1923	10	6232			1911	43264
Other Income	54661		89		741	24152	3106	171	16587	0	19425	0	118932
Profit Before Tax	57,067	21,301	41,144	-191	34,176	376,430	2,605	119	18,278	5,848,295	16,788	168,907	6,584,919
Taxation	46	0	254		880	35442		0	1117	10238	472	549	48698
Profit After Tax	57,021	21,301	40,890	-191	33,296	340,988	2,605	119	17,161	5,838,057	16,316	168,358	6,536,221
Transfer to policyholders funds				1	55,225	195,305				5,419,573	15,668	133,506	5,819,278
Dividends					28860					-76541			-47681
Retained Income	57,021	21,301	40,890	-192	6,931	145,683	2,605	119	17,161	495,025	648	34,852	822,044



ANNEXURE 2. STATEMENT OF FINANCIAL POSITION FOR LIFE ASSURERS AS AT 30 SEPTEMBER 2019 (000)

	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Nhaka	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total
ASSETS													
Non-Current Assets													
Intangible assets	73	0	261	92							1861	87	2374
Property and equipment	26022	7756	8114	156	33440	12818		118	34	53039	10,477	777	155680
Investment property	70259	39432	27653	4264	104252	405616		4263	636	4321	3,928,442	8357	4742442
Investments and securities	10,356	0		3563	22816	175260		524	95	3522	38,583	40194	416,456
Investment assets	3,481	2,388	5653	100		20446		2,510		4740	4,613,401	8369	4,661,088
Investments in Associated Companies						0					69794		69,794
Other Non-Current Assets					14,088	16,233		5	41345	103826	1052		176,549
Total Non-Current Assets	110,191	49,576	41,681	8,175	174,596	630,373	7,415	770	106,967	8,694,729	130,404	269,506	10,224,383
Technical Assets													
Reinsurers' Share of O/S Claims													0
Deferred Acquisition Cost (DAC)	0	0											0
Total Technical Assets	0	0	0	0	0	0	0	0	0	0	0	0	0
Current Assets													
Cash & bank balances	807	313	5699	6	6,453	19,299		531	100	21016	120,838	507	182,581
Short term Investments	4039	0	40562		3176	19014		0	118	10,359	36352	1839	134490
Other investments	0	20			292			0			0		312
Premium Receivables	396	65	2,827	51	13,846	6,985		293	270	24,731	71,927	958	132,779
Intercompany Investments					17,079								17,079
Other current assets	604	8,440		501	2336	3383		1857	49	38381	76393	1,529	133,473
Total Current Assets	5,846	8,818	49,088	558	43,182	48,681	2,681	537	94,487	305,510	3,304	38,002	600,694
TOTAL ASSETS	116,037	58,394	90,769	8,733	217,778	679,054	10,096	1,307	201,454	9,000,239	133,708	307,508	10,766,683
Liabilities													
Deferred Tax Liabilities		828		7	126	50943		-6		2533	179473	3403	185410
Future policyholders benefits	3023	0		370	124159	379222		0	134	141066	7755221	75137	8183230
Short term loans				0	0	4486		0		0	0	0	0
Long term Loans		996		0	20998	0		0		0	0	1511	1511
Current Tax provisions		9699		9				0		0	44	0	9752
Gross Outstanding Claims	1,172	0		9	998	1,372		0		1,262	2562	291	8,474
IBNR	489	0	3198	94		369		113		0	0	546	4809
UPR	1,496	0	187	86				1		5,671	0	976	8417
Creditors		0	20101	120		16,372		0		18,332	5,861	12,056	56,470
Amount due to reinsurers	0	0	145	0	397			0		0	0	206	748
Other Liabilities	3,941	2,140	931	101	64165	0		2048	339	3036	50,054	632	150527
Total Liabilities	10,121	13,663	24,562	796	210,843	452,764	2,156	473	171,900	7,987,310	85,368	247,522	9,193,815
SHAREHOLDERS' EQUITY													
Share Capital		1000			1089			20	1680	400	132	232	4753
Share Premium	1,388	0	5,685	2,128	671	2,606		4,602		29,990	4432	450	51952
Revaluation & Other Reserves	18,507	3,276	2763	2571	3185			0	919	5082	35658	9727	84167
Treasury shares	10,293				-10			245		0	29156		39684
Prior years earnings	18,706	19,156	16870	3432	16638	23687		3317	-2129	5287	407390	4144	538506
Current year retained	57,021	21,300	40889	-192	-14,637	42,359		119	17,160	495,025	649	34,851	694544
Minority interest						157,639				1,623			159,262
Shareholders's Equity	105,915	44,732	66,207	7,939	6,936	226,291	7,939	834	29,552	968,195	48,340	59,988	1,572,868
TOTAL EQUITY & LIABILITIES	116,036	58,395	90,769	8,735	217,779	679,055	10,095	1,307	201,452	8,955,505	133,708	307,510	10,766,683

Annexure 3. Key performance indicators for life assurance companies

	CBZ Life	Doves	Econet	Evolution	Fidelity	First Mutual	Getsure	Heritage	Nyaradzo	Old Mutual	ZB	Zimnat	Total/ Average
Key Performance Indicator													
Capital Adequacy													
Capital Position (\$ 000)	105,915	44,732	66,207	7,939	6,936	226,291	7,939	834	29,552	968,195	48,340	59,988	1,572,868
Capital Coverage Ratio (CCR)	2118.30%	894.64%	1324.14%	158.78%	138.72%	4525.82%	158.78%	16.68%	591.04%	19363.90%	966.80%	1199.76%	2859.76%
Equity/Total Assets Ratio	91.28%	76.60%	72.94%	90.91%	3.18%	33.32%	14.67%	63.81%	14.67%	10.76%	36.15%	19.51%	14.61%
Solvency Margin	1046.49%	327.40%	269.55%	997.36%	3.29%	49.98%	368.23%	176.32%	17.19%	12.12%	56.63%	24.24%	17.11%
Asset Quality													
Total Assets (\$ 000)	116,037	58,394	90,769	8,733	217,778	679,054	10,096	1,307	201,454	9,000,239	133,708	307,508	10,766,683
Investments to Total Assets	12.41%	0.03%	44.69%	40.80%	12.07%	28.61%	6.89%	0.83%	83.64%	0.83%	83.64%	45.71%	5.77%
Non-Interest Generating Assets/Total Assets	95.82%	99.46%	49.03%	99.93%	87.60%	94.36%	84.43%	98.25%	98.25%	98.25%	98.25%	91.53%	97.44%
Fixed Assets/Total Assets	94.96%	84.90%	45.92%	93.61%	80.17%	92.83%	73.44%	58.91%	53.10%	96.61%	97.53%	87.64%	94.96%
Prescribed Assets Ratio	3.00%	0.03%	5.97%	1.14%	7.06%	14.77%	5.19%	0.00%	4.18%	14.43%	2.45%	3.80%	13.36%
Premium Debtors/Gross Premium	4.54%	0.26%	7.37%	7.01%	99.09%	16.46%	15.36%	40.85%	18.10%	38.67%	7.87%	26.86%	26.27%
Premium Debtors/Total Assets	0.34%	0.11%	3.11%	0.58%	6.36%	1.03%	12.28%	20.66%	12.28%	0.80%	0.72%	3.39%	1.23%
Reinsurance													
Risk Retention Ratio	96.72%	100.00%	98.17%	99.86%	94.15%	99.28%	100.00%	99.09%	100.00%	98.26%	94.76%	89.84%	98.02%
Actuarial													
Total Assets/Total Reserves	1877.62%	0.00%	2681.51%	1562.25%	174.00%	178.25%	8856.14%	975.37%	136.12%	116.02%	177.27%	146.01%	131.22%
Earnings													
Profit After Tax and transfer to policyholder fu	57,021	21,301	40,890	-192	6,931	145,683	2,605	119	17,161	495,025	648	34,852	822044
Return on Equity	53.84%	47.62%	61.76%	-2.42%	99.93%	64.38%	32.81%	14.27%	58.07%	51.13%	1.34%	58.10%	52.26%
Return on Assets	49.14%	36.48%	45.05%	-2.20%	3.18%	21.45%	25.80%	9.10%	8.52%	5.50%	0.48%	11.33%	7.64%
Loss Ratio	29.66%	52.78%	42.08%	26.00%	34.11%	35.55%	16.78%	12.52%	63.07%	55.53%	36.49%	28.65%	51.16%
Net Commission Ratio	7.39%	8.12%	0.00%	21.60%	4.33%	3.41%	6.97%	3.51%	6.56%	0.87%	17.12%	9.05%	4.17%
Net Expense Ratio	85.01%	43.89%	0.67%	40.03%	44.66%	59.08%	0.00%	99.39%	25.32%	20.84%	82.01%	29.42%	28.77%
Combined Ratio	37.10%	60.90%	44.60%	47.60%	38.40%	39.00%	87.20%	16.00%	94.90%	56.40%	134.80%	40.80%	64.80%
Investment Income/NPW Ratio	54.91%	0.00%	108.39%	0.00%	281.18%	847.85%	0.00%	9.01%	0.75%	3177.56%	12.78%	456.80%	112.00%
Investment Income/Total Financial Assets	30.50%	0.00%	88.21%	0.00%	113.00%	167.29%	0.00%	18.85%	2.93%	2966.04%	1.31%	107.97%	797.42%
Liquidity													
Working Capital	733	-3,021	48,012	439	-22,378	47,309	633	198	90,189	252,894	2,337	13,848	431,193
Current ratio	185.18%	90.92%	207.73%	175.47%	3095.48%	215.41%	2351.75%	158.41%	373.98%	11924.67%	53.32%	260.43%	677.45%
Liquid assets as a percentage of total assets	4.18%	0.57%	50.97%	0.07%	4.56%	5.64%	5.26%	16.68%	15.57%	1.75%	1.75%	8.47%	2.95%
Market Shares													
Market Share Based on GPW	1.73%	4.94%	7.59%	0.14%	2.76%	8.40%	0.38%	0.36%	27.04%	36.80%	2.41%	7.68%	100%
Market Share Based on NPW	1.70%	5.04%	7.60%	0.15%	2.66%	8.51%	0.38%	0.13%	27.59%	36.89%	2.33%	7.04%	100%
Market Share Based on Total Assets	1.08%	0.54%	0.84%	0.08%	2.02%	6.31%	0.09%	0.01%	1.87%	83.59%	1.24%	2.86%	100%

Annexure 4: Gross Premium by Product Type as at 30 September 2019

	Annuities			Term Insurance			Endowment			Pure Endowment			Whole Life			Funeral			Fund Business			Other/GLA		
Company	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)	Sep-18	Sep-19	Growth (%)
CBZ Life	1	207	20600%	3,105	3037	-2%	24	78	225%	0	-	0%	116	120	3%	4,812	5,211	8%	0	-	0%	265	79	-70%
Doves Life	0	0	0%	-	0	0%	-	-	0%	0	-	0%	-	-	0%	-	24,949	0%	0	-	0%	0	-	0%
Econet Life	0	0	0%	-	0	0%	0	-	0%	0	-	0%	0	-	0%	12,912	-	-100%	0	37,670	0%	375	679	81%
Evolution Health & Life	0	0	0%	0	0	0%	0	-	0%	0	-	0%	4	-	-100%	475	4	-99%	0	-	0%	0	723	0%
Fidelity Life Assurance	179	1807	909%	68	162	138%	1,588	892	-44%	458	955	109%	185	324	75%	1,023	1,278	25%	-	-	0%	6,125	8,555	40%
First Mutual Life	6191	7718	25%	4,504	4,951	10%	344	344	0%	0	-	0%	534	363	-32%	5,534	4,994	-10%	8,937	16,472	84%	4,677	7,605	63%
Getsure Life Assurance	0	0	0%	0	9	0%	0	-	0%	0	318	0%	0	-	0%	-	602	0%	0	-	0%	-	978	0%
Heritage Life	0	0	0%	0	-	0%	24	-	-100%	0	-	0%	7	-	-100%	329	495	50%	281	-	-100%	-	165	0%
Nyaradzo Life Assurance	0	0	0%	0	0	0%	0	-	0%	0	-	0%	0	-	0%	78,295	136,669	75%	0	-	0%	0	-	0%
Old Mutual Life Assurance	5777	5709	-1%	354	1,169	230%	1671	3,177	90%	0	-	0%	4,166	7,315	76%	3,520	3,458	-2%	100,150	140,508	40%	12,684	24,644	94%
ZB Life Assurance	134	0	-100%	281	-	-100%	733	-	-100%	2,053	-	-100%	41	-	-100%	5,406	4,109	-24%	1,136	1,553	37%	-	6,518	0%
Zimnat Life Assurance	296	596	101%	0	-	0%	0	-	0%	0	-	0%	1,018	992	-3%	4,599	12,905	181%	9,346	9,718	4%	4,280	14,620	242%
Total	12,578	16,037	28%	8,312	9,328	12%	4,384	4,491	2%	2,511	1,273	-49%	6,071	9,114	50%	116,905	194,674	67%	119,850	205,921	72%	28,406	64,566	127%



Annexure 5: Key performance indicators for Composite Reassurers

	Emeritus Re	FBC Re	FM Re	Grand Re	Zep Re	Total/ Average
Key Performance Indicator						
Capital Adequacy						
Capital Position (\$ 000)	16,850	27,671	3,328	1	-854	46,996
Capital Coverage Ratio (CCR)	337.00%	553.42%	66.56%	0.02%	-17.08%	187.98%
Equity/Total Assets Ratio	83.04%	40.10%	58.81%	-265.00%	66.76%	50.75%
Solvency Margin	634.65%	88.54%	719.82%	-5300.00%	200.80%	140.29%
Asset Quality						
Total Assets (\$ 000)	20,292	69,006	5,434	20	2,626	97,378
Investments to Total Assets	53.59%	31.02%	88.94%	0.00%	0.00%	38.13%
Non-Interest Generating Assets/Total Assets	83.50%	52.42%	71.42%	0.00%	0.00%	61.23%
Fixed Assets/Total Assets	0.00%	0.00%	0.00%	15.00%	0.00%	0.00%
Prescribed Assets Ratio	5.33%	0.27%	2.37%	0.00%	0.00%	1.47%
Premium Debtors/Gross Premium	163.77%	0.00%	0.00%	0.00%	21.10%	75.13%
Premium Debtors/Total Assets	43.98%	0.00%	0.00%	0.00%	19.04%	9.68%
Reinsurance						
Risk Retention Ratio	77.52%	57.82%	83.05%	0.00%	98.95%	78.30%
Actuarial						
Total Assets/Total Reserves	764.29%	100.00%	1223.87%	0.00%	300.46%	293.36%
Earnings						
Profit After Tax (000)	6160	616	674	-2	974	8422
Return on Equity	36.56%	2.23%	21.09%	3.77%	55.56%	17.04%
Return on Assets	30.36%	0.89%	12.40%	-10.00%	37.09%	8.65%
Loss Ratio	25.50%	17.17%	76.09%	0.00%	22.35%	29.51%
Net Commission Ratio	17.18%	22.29%	22.13%	0.00%	20.68%	19.70%
Net Expense Ratio	37.22%	4.88%	17.49%	0.00%	6.70%	21.44%
Combined Ratio	88.73%	60.60%	120.23%	0.00%	49.72%	80.51%
Investment Income/NPW Ratio	0.00%	0.00%	0.00%	0.00%	0.00%	0.00%
Investment Income/Total Financial Assets	1.49%	0.45%	20.17%	0.00%	0.00%	2.14%
Liquidity						
Working Capital	11,498	32,331	275	-53	-374	44,547
Current ratio	185.55%	121.82%	116.68%	0.72%	50000.00%	126%
Liquid assets as a percentage of total assets	16.50%	47.58%	28.58%	85.00%	0.00%	38.77%
Market Shares						
Market Share Based on GPW	43.44%	21.21%	16.46%	0.00%	18.89%	100%
Market Share Based on NPW	43.01%	15.66%	17.46%	0.00%	23.87%	100%
Market Share Based on Total Assets	20.84%	70.86%	5.58%	0.02%	2.70%	100%

Annexure 6: Statement of comprehensive income for composite reinsurers for the period ended 30 September 2019 (000)

	Emeritus Re	FBC Re	FM Re	Grand Re	Zep Re	Total
Gross Written Premiums	5,449	2660	2,065		2,370	12,544
Retrocessions Premiums	1225	1122	350		25	2722
Net Written Premiums	4,224	1,538	1,715	0	2,345	9,822
Increase/(Decrease) in UPR	0	0	0		205	205
Net Earned Premiums	4,224	1,538	1,715	0	2,140	9,617
Transfer to IBNR	167	0	0		272	439
Outstanding claims	0	0	0		0	0
Claims recovered	-4	0	0		0	
Paid Claims	1077	264	1,305		252	2898
Net claims	1,240	264	1,305	0	524	3,333
Net Commission Incurred	936	593	457		485	2471
Technical Result	2,048	681	-47	0	1,131	3,813
Operating Expenses	1572	75	300	2	157	2106
Underwriting Result	476	606	-347	-2	974	1707
Management expenses	0	0	0			0
Investment Income	167	224	1020			1411
Unrealised Gains/Losses	5412	0	0			5412
Other expenses	0	0	0			0
Other Income	105	0	1			106
Profit Before Tax	6,160	830	674	-2	974	8,636
Taxation	0	214	0		0	214
Profit After Tax	6,160	616	674	-2	974	8422
Transfer to policyholders funds	0	0	0		0	0
Dividends	0	0	0		0	0
Retained Income	6,160	616	674	-2	974	8422



Annexure 7: Statement of financial position for Composite Reassurers as at 30 September 2019 (000)

	Baobab Re	FBC Re	FM Re	Grand Re	Zep Re	Total
ASSETS						
Non-Current Assets						
Intangible assets	0	0	0			0
Property plant and equipment	1	989	7	3		
Investment property	0	0	0			
Investments and securities	7 850	16385	3503			27 738
Life reinsurance contracts assets	156	0	0			
Deferred tax	0	0	0			
Investment assets		550	0			550
Other Non-Current Assets		8099	0		1 988	10 087
Total Non-Current Assets	8 007	26 023	3 510	3	1 988	39 531
Technical Assets						
Reinsurers' Share of O/S Claims	0	0	0			0
Deferred Acquisition Cost (DAC)	0	0	0		138	138
Total Technical Assets	0	0	0	0	138	138
Current Assets						
Cash & cash equivalents	323	28365	223		0	28 911
Money Market Investments	3025	4468	1330	17	0	8840
Current Prescribed Assets	0	0	0			0
Premium Receivables	8 924	0	0		500	9 424
Intercompany Investments	0	0	0			0
Inventory and Other Debtors	13	10150	371		0	10 534
Total Current Assets	12 285	42 983	1 924	17	500	57 709
TOTAL ASSETS	20 292	69 006	5 434	20	2 626	97 378
Liabilities						
Deferred Tax Liabilities	0	-569	0			-569
Future policyholders benefits	0	6621	329			6950
Short term provisions	625	24631	0			25256
Loans		0	0			0
Current Tax provisions		0	0			0
Gross Outstanding Claims		0	837	1	1	839
IBNR			115		307	422
UPR			0		566	566
Life fund	2 030		0			2030
Creditors		0	145			145
Amount due to retrocessions	625	0	795			1420
Other Creditors	162	10652	17	72	0	10903
Total Liabilities	3 442	41 335	2 238	73	874	47962
SHAREHOLDERS' EQUITY						
Share Capital	488	800	1	14		1303
Share Premium	6 281	4 803	2 287			13371
Revaluation & Other Reserves		37				37
Retained earnings prior years	3 921	10198	234	-65	779	
Retained Profit	6 160	11367	674	-2	974	19173
Others		466	0			466
Shareholders's Equity	16 850	27 671	3 196	-53	1 753	49 417
TOTAL EQUITY & LIABILITIES	20 292	69 006	5 434	20	2 627	97 379